“Bajaj Finance Q3 FY'21 Results Conference Call hosted by JM Financial Institutional Securities Limited.”

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MANAGEMENT:	**MR. RAJEEV JAIN – MANAGING DIRECTOR, BAJAJ FINANCE** **MR. SANDEEP JAIN, CHIEF FINANCIAL OFFICER, BAJAJ FINANCE** **MR. ATUL JAIN – CHIEF EXECUTIVE OFFICER, BAJAJ HOUSING FINANCE** **MR. ANUP SAHA -- DEPUTY CHIEF EXECUTIVE OFFICER, BAJAJ FINANCE** **MR. DEEPAK BAGATI -- PRESIDENT, COLLECTIONS, BAJAJ FINANCE**
MODERATOR:	**MR. KARAN SINGH, JM FINANCIAL INSTITUTIONAL SECURITIES LIMITED**

Moderator: Ladies and gentlemen, good day, and welcome to Bajaj Finance Q3 FY'21 Results Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Karan Singh from JM Financial. Thank you, and over to you, sir.

Karan Singh: Thank you. Good evening, everybody, and welcome to Bajaj Finance's Earnings Call to Discuss the Third Quarter Results. To discuss the results, we have on the call Mr. Rajeev Jain, who is the Managing Director; Mr. Sandeep Jain, who is the Chief Financial Officer; Mr. Atul Jain, CEO, Bajaj Housing Finance; Mr. Anup Saha, Deputy CEO; and Mr. Deepak Bagati, who is President, Collections. May I request "Mr. Rajeev Jain to take us through the Financial Highlights", subsequent to which we can open the floor for "Q&A Session." Over to you, sir.

Rajeev Jain: Karan, thank you for hosting us. Good evening to all of you. I have two more colleagues that I missed; Ashish Panchal, who is my Head of Strategy and runs set of businesses; Fakhari, who is our Chief Risk Officer.

Okay. I'll be referring to the presentation that's uploaded on the "Investors" section of the website of the company. I'll be running through seven, eight pages. I hope to take between 20- 25 minutes to the points that we have outlined for you, and post that, we'll be open for Q&A.

Let's quickly jump to panel #4. If I look at the quarter that went by, in our assessment as a company, it is a quarter marked by granular business recovery, essentially, for all lines of businesses. So, growth has been structural across, other than for auto finance business, and given the kind of credit losses that they are taking, it's ought not to grow that business. Otherwise, it has been reasonably structural. Significant improvement in risk metrics in Q3 and tracking implementation of our business transformation plan, which I'll cover in some degree of detail and we have provided update on that. And putting into motion a plan for pre-COVID growth and financial performance from next fiscal onwards.

I just want to remind the objective of us taking some of the actions that we're taking including front-loading our loan losses is with the purpose of ensuring that as we exit this fiscal, we don't have to think about 2021 for us as a company. As a result of the plan that we laid out which we've been putting into motion over the last three quarters, AUM came in, in the current quarter on a year-on-year basis 1% down at Rs.143,550 crores. OPEX to NIM was better on a year-on-year basis at 32.3% versus 33.8%. PAT was down 29%. And there are a set of items that I'll cover which have caused this. ROE on an annualized basis is looking like 12.9% to 13%. And net NPA, on a pro forma basis came in at 0.19%. This is based on the Hon'ble Supreme Court status quo. It's at 19 basis points, but otherwise, it's at 122 basis points.

Very quickly on to Panel #5. I talked about AUM. Core AUM growth essentially, if I had the IPO receivable that was there in last quarter of tad below Rs.1,000 crores plus ECL that we take, if you add that, the core growth in the quarter was just a tad below Rs.8,000 crores. On an average, if I take last four quarters pre-COVID, the number used to be between Rs.9,000 crores and Rs.9,500 crores every quarter, at a fundamental level, as we exit in Q4, we should start to get closer to anywhere between Rs.9,000 crores and Rs.9,500 crores for us as a company. AUM growth is back, in general, as I said earlier, it is a secular recovery across all lines, other than AF. We booked 6 million loans against 7.67 million loans. Most businesses are between 85% and 100% of last year volume in Q3. Even in Q3, if I look at let's say, fundamentally between October and December, if I look at point #4, while on a quarter basis, our B2C businesses, SME, rural B2C and mortgages were 81%, if I look at December, they were at 90%. So clearly, we are quite confident as a company that we'll get back to Rs.9,000 crores and Rs.9,500 crores or maybe a little higher growth as we enter Q4 for us as a company. In Q3, the urban consumption businesses were at 86%. That's in volume terms. On value terms, they're at 90% to 93%. Rural at 103%, 104% in value terms. Credit card origination is at 102% on a year-on-year basis. eCommerce at 107%. AF, I talked about given the kind of credit pressures that they're in at 62%. And that's likely to remain so for a little while. Mortgages disbursements were at 90%, but the AUM growth was structurally lower on a year-on-year basis. In Q3, they grew by Rs.770 crores against Rs.3,700 crores in Q3 last year, mainly caused by significant portfolio attrition, caused by the kind of pricing that we're seeing between the top four lenders in the mortgages space. We've taken the pricing action, and we're starting to see most of the Rs.770 crores growth that you're fundamentally seeing essentially little higher in the month of December. So, we should go back to a stronger growth momentum in terms of net AUM as we get into Q4.

Commercial business grew 15%. LAS business de-grew by 22%. We are quite hopeful that commercial business, given how well the businesses that we lend to have done through this phase, we are quite confident that even next year should be a good year for them.

A good part of the quarter was that we acquired 2.2 million new customers given the environment. Overall franchise stood at 46 million customers and the best franchise stood at 25.35 million customers for us as a company. Overall, franchise grew by 15%. But net growth, because a whole lot of customers slipped out as well as a result of delinquency and default, so gross addition was 15%, net addition was 8%. Existing customers contributed 64, in general, they contribute 68 to 70. That's an area that we're working on, and we should make progress in current quarter or into the next fiscal.

Overall, the new origination, that we're looking at is looking significantly better than the pre-COVID origination. Whatever is coming through the door is anywhere between 20%, 30% lower than what used to come through the door pre-COVID. But it's only all but natural given the kind of cleansing at a financial system level that's happened.

Just as an update, we have talked about a second partnership for credit card business given our ambition to be among the top three or four card issuers in India. We have partnered with DBS Bank and we have received RBI approval to distribute co-branded credit cards in partnership with them as well. RBL will continue to be a strategic partner for us as a company. We continue to believe that we will grow that relationship, and this is a structural addition rather than anything else from ambition and from orientation standpoint.

On NIM quickly, so that's on balance sheet, overall margin profile remains pretty steady at pre-COVID levels, other than mortgages which I talked about. Net interest margin was lower mainly caused by, as you can see there, the interest reversal of Rs.450 crores, that on a year-on-year basis used to be at Rs.83 crores, so that's Rs.360 crores of interest reversal. There will be some degree of slip through in Q4 as well. But from Q1 onwards, that should go back between Rs.83 crores and Rs.100 crores on a quarter-on-quarter basis.

Cost of surplus liquidity, we have started to wind down. That's the next section I'll cover. It was at Rs.83 crores. If you look prior in Q1 and Q2 of last year, that number used to be Rs.50 crores. So even Rs.83 crores was an elevated number. This number either will go back to Rs.83 crores or may even go lower as we get into the next fiscal.

That brings me to liquidity management. So clearly, both those actions on top, both being in a way, have stress-tested the model as they revert to their normalcy, should add to the NIM which is how it was pre-COVID. Liquidity, we remain sufficiently liquid, representing 11.6%. Given the favorable and stable market conditions, we have now started to dial down our liquidity buffer. If you recall last quarter it was 18%, we've dialed it down to 22%. We'll go back to our 7% to 8% liquidity buffer that we used to maintain as a company by March '21. To drive that, we already started to action in the last 45 days; we paid down close to Rs.6,600 crores of prepayment is what we have done between middle of December and early January. As a result, the consolidated cost of funds came in at 7.78%, It will further go down to 7.5% by March '21. It also assumes that CP book which used to run at 8% to 10%, today is virtually running at 4%, it will also go back to normalcy.

We have also tested one more model very clearly over the last nine months or especially in the first six months that the company has a natural hedged liquidity profile built in. Given the kind of rapid churn of the balance sheet, we do generate anywhere between Rs.5,500 crores and Rs.7,000 crores of natural liquidity in the balance sheet on a month-on-month basis. So, I think that's something that's got tested very, very hard through this crisis as well.

Deposits continue to grow as part of our intention to granularize, came in at just a tad below Rs.24,000 crores, a year-on-year growth of 18%, and stood at 19% of consolidated balance sheet. We expect to end the year between Rs.25,000 crores or Rs.25,500 crores for us as a company. 76% of that is retail, 24% is corporate. That ratio will keep growing to provide greater stability.

OPEX came in at Rs.1,390 crores, lower by 9% YoY. So NIM is down by 5%, OPEX is down by 9%. So clearly, our actions on OPEX have helped. We were quite brutal in the way we managed OPEX and we think it was the right thing to do. This despite a Rs.60-odd crores of higher recovery commission costs given the flow-through. So, it's actually down by technically 11% to 12%. It was also of course caused by lower business volumes. There's no denying that. But some of the actions that we took have now been institutionalized as we go ahead and should deliver sustained savings.

As I've said in Point 18, some of the costs are transient, like employee costs, we're starting to roll back, we rolled majority of that between November and December, and we will roll back fully from February onwards.

But some of the business transformation are changes in OPEX are structural in nature, like call center cost, travel cost, A&P cost, training cost, they are not going to come back or may come back only to the extent of 40% to 50% from where they were pre-COVID.

Let's just jump to "Credit Cost", the elephant in the room. Loan losses bagged at Rs.1,352 crores against Rs.831 crores. We also did a principal write-off of Rs.1,970 crores after applying various lens as a company in terms of clients who should be written off. So various tests were applied by risk and by finance and by independent auditors to write-off Rs.1,970-odd crores on account of COVID-related test. As of December, we're still carrying Rs.800 crores of overlay provision as a company.

Loan losses, just to highlight, we are continuing to roll to front-load basis a lifetime loss estimate rather than a flow-through estimate. That's just for highlighting the point. We do expect that as we complete the current fiscal, that in the next fiscal we will go back to what has been our average 150, 160, 170 basis points of credit cost of average assets is what we expect to go back to starting next fiscal. And this is not accounting for how recoveries would pan out. If recoveries are better in FY''22, it's difficult to pin a finger on it at this point in time. We may experience in the next fiscal a lower net loan loss to average assets. But now, the only thing that I'm looking at is how do we revert back to average loan loss to average assets rather than anything else without accounting for recoveries, recoveries will be addition.

We did experience, quite honestly… I mean, it looks like we've seen many cycles in nine months fundamentally. April was in a way one cycle, July was another cycle, and November, December was another cycle. In nine months, it feels like, as a financial services professional, we've seen three cycles at a fundamental level. The degree of volatility of up and down is just quite unprecedented fundamentally and not experienced by anybody, I can very confidently say that. At this point in time, so we continue to observe significant improvement portfolio quality in Q3. In collection efficiency in bucket zero, I do read some of the analyst reports which talks about general collection efficiencies, I would just guide that there are bucket zero efficiencies, bucket one and two efficiencies, and there are bucket three and above efficiencies. That's really how

fundamentally we internally look at it. When we look at those clients who are current and they went into default, which is called bucket zero efficiencies, they are actually back to pre-COVID or better than that. So that's level one point. The early bucket collection efficiencies, clients who are in bucket one and two, because of the kind of share flow through that's happened from zero to one and one to two are significantly better than pre-COVID, which is really what is resulting in lower credit cost guidance, which is really even in bucket three and above, we are experiencing the same thing. If it sustains, it could fundamentally mean lower credit cost, but I would wait for some more time before I could confidently say that it will result in lower credit cost in the process in the next fiscal, but I would wait for a quarter to make that point.

Overall, we have provided a guidance of that in Q2, that whatever we have taken we are residually left in our assessment with anywhere between Rs.2,600 crores to Rs.2,900 crores. At this point in time, we have taken since then in this current quarter Rs.1,352 crores. We think the fourth quarter residual credit cost in our assessment could be Rs.1,200 crores and Rs.1,250 crores. As I said earlier on the previous point, if they continue to be markedly better, the number could be Rs.50 crores plus/minus. Given we've gone so far with it, in general, our management view would be, we might as well take it and if it comes back, it will drop into the P&L as we get ahead. I'd rather add the 97th percentile, not get to wait to the 100th. So that's really where we are fundamentally headed. And I've articulated that if they remain better, there could be reduction, but the reduction could be plus/minus Rs.50 crores to Rs.75 crores.

24th point is the “Resolution Plan.” At this point in time, Rs.2,040 crores, of that just Rs.950 crores is mortgages, against that Rs.2,040 crores, we are holding provisions of Rs.400 crores overall, mortgages and AFR secured accounts, B2B, it's one single large account, which is part of the resolution plan. So that's the resolution plan framework.

Gross NPA and net NPA… 25th point is, while it's a published number, given the interim order of Hon'ble Supreme Court, if you took a pro forma view, fundamentally, we are at this point of time ending Q3 at 286 basis points of gross NPA and 122 basis points of net NPA. If we break that up, the B2B business net NPA is up by 7 basis points post the clean-up, SME is up by 48 basis points, B2C is 89 basis points and auto finance business is 348 basis points. Fundamentally, other than auto finance business, which has an underlying collateral, we expect between Q4, Q1, we should largely be reverting back to the pre-COVID levels of net NPA for us as a company is really what our internal risk models at this point in time are saying.

Jumping, if you aggregate this entire conversation between balance sheet AUM growth, NIM, liquidity, OPEX and the credit costs, takes us to the last point of profitability. Overall, contracted 28% from a pre-tax standpoint to Rs.50- 55 crores, mainly caused by Rs.520 crores of loan loss provision, interest reversal of Rs.367 crores and additional liquidity cost of Rs.130 crores. I've talked about the actions that we are fundamentally taking in each one of these lines, and they should result into natural addition to profitability as we get into next fiscal for us as a company. At a fundamental level, that's really where they're headed to be at a design level.

Capital, clearly, we are good for next three years as a company. The Tier-1 capital itself is at 25%. So we are very, very well placed. So far in Q1 we talked to street about zero-based budgeting. We provided a short update on business transformation that we are up to. This is the first time we are fundamentally articulating over the next five, six panels as to how the company will run over the next five, seven years. To us, this is a fundamental change in the way company will be run. So, under the hood, there is a lot changing is the point #1 that I would fundamentally want to articulate and once the hood changes, everything else over a period will change any which ways.

Where we are headed is that clearly, COVID led us to structurally question the way our business is conducted, not run, the way it's conducted and where we are headed is that we want to build for us as a company, omni-channel infrastructure in this country for financial services products and services. So that's the position that we are taking as a company because we are a regulated business, we are not a pure payments business, which means omni-channel is what would work. You will need to transition between offline to online in a seamless manner, is really on a realistic basis, given the nature of our business, that business will run. And that's really what we are up to. So, there is a consumer side of the business, and within the company, how data will move, and multiple apps will get created to deliver to the consumer through an omni-channel experience. It was very clear that if you want to do this, it's not about building an app. Most people mistake it for that. The structural transformation is in changing our operating processes. If you have to change your operating processes, followed by that, you have to change your core technology stack. And that's really what we've been up to, that's underway, that process will get completed by May '21. And what that will lead to, is to creating apps. So, app will follow. The hardest part in this entire frame has been changing the way processes would run, which means customer first rather than company first. I think that's the fundamental change in methodology or approach that we are headed to build. And that means the stack itself is customer first rather than company first. That is the hardest part in this entire transformation that we have to deliver.

Point #31, I talked about omni-channel customer. As I said, we are in a highly regulated business. Customers, in a click of a button, 10% of customers may get money, 90% will need a call in 5 minutes, 90% will need that somebody calls them and helps them complete the journey, so that the loan happens in five minutes. That's really where the omni-channel framework starts to play out. We are in the process of developing or significantly transforming four large productivity app in ecosystems within the company, they are inward-facing, but they will seamlessly talk to the customer asset and employee assets on a real-time basis, which will be sales one app, merchant app, collections app and partner app. So that should also go through by May '21. We do believe fundamentally that once these are delivered; this will require much lower headcount addition as a proportion of growth as we get into the next few years. And in our business, if I look at our P&L stack, linearity of headcount addition to growth is something that always troubled me at a design level. We deliver this. That would dramatically get solved. That does not mean headcount addition will not happen, but the non-linearity of headcount to growth will go through a significant transformation as we get into the next fiscal.

We will launch “Bajaj Pay” for consumers some time in Q4. We will launch “Bajaj Pay” mainly meant for our merchants. We are not looking at competing in where the big elephants are fighting. We have 103,000 merchant ecosystems. We move 7%- 8% of their commerce. We think we have an opportunity to double that volume in the medium-term, just staying with that organized ecosystem so that we further ring-fence it. Within a single app ecosystem, customer will be able to access, we are creating five proprietary marketplaces. EMI Store which existed, but now “it is integral” to our B2B business, the way customers will start to experience it in the next 30-days’ time. We're building an insurance marketplace, which will go live along with the overall new ecosystem, we are building an investments marketplace, and Bajaj FinServ Health is already live. These are five proprietary marketplace ecosystems using our group companies and the broking app in the last half that we are creating which should allow customers to buy whole host of financial services products and services through single app ecosystem across electronics, insurance, investment and health.

In addition, we've identified, what we call, adjunct affinity app ecosystem that we will integrate between now and May as we build this out. I think the first phase of this will get launched by July, second phase by August and third phase by September end. We think by September end, we should deliver what I would call a reasonably solid business. Having said that, let me make one point that our next year growth as a company is not contingent on it. This is the way company will be run. I think I want to emphasize and reinforce the point; this is not for next year; this is the way company will be run rather than needed for growth at a fundamental level. We will use the second half of next year to optimize, optimize, optimize, sharpen, sharpen, sharpen. And this is really how we will, as we go ahead, run the company, just as the last point.

This is a new section we've added. Clearly, if we have to build a moment of truth business for us as a company and we believe that 46 million customers someday will go to 75 million or 100 million customers in this country and our strategy is acquired in cross-sell, we got to deliver much better customer experience, that's one; much reduced friction, number two, so that purchase and post-purchase experience improve. So, every quarter henceforth, we will share as to what we are doing on customer experience for us as a company because at a design level, we got to structurally change this piece of the hood to deliver a moment of truth company for us. So there are a set of actions that are here.

Point #37, I covered. Clearly, the self-service infrastructure will see significant augmentation as we deliver the business transformation. The largest part of the rate actually will be on self-service infrastructure for most, if not all. Some of the items parallelly at a fundamental level that we're doing is like an IO process that we have created to strengthen customer grievance. He also has a mandate to tell us what changes that we make so that customer friction reduces.

“Call Monitoring Infrastructure.” Now we have created all calls by March that are made by our collections agents fundamentally will be recorded calls. That's really where we are headed. We are already at 35%- 40% of the calls recorded fully. They will get to 100% at a design level.

We're proactively moving into DRA certification. That's something that we're doing as well. So, we've now moved, we've taken a decision that NPS was used to gauge customer experience. We are headed to gauge it for our collection processes. We are already seeing 3%, 4%, 5% response rates from customers on this. So clearly, we are changing a lot under the hood. It's been a terrible crisis. But I think it has put through some of the structural changes that we needed to create next gen levels of growth momentum for us as a company.

I jump to Panel #19. The only business that we fundamentally added through this period is Medical Equipment Financing business. We think it's a large opportunity in the SME now and in the commercial in the medium term for us as a company. We've done B2B tie-ups, and we are now disbursing Rs.15 crores, Rs.18 crores a month. This should grow as we move ahead.

Panel #35, very clearly, just on liability mix, from 13 at 0 to overall on a standalone basis of Bajaj Finance, deposits are at 24%, on a consolidated basis are at 19%, ECB is at 6%.

Panel #37 – "Customer Franchise." I talked about it. At the top of the funnel, grew by 15%, at the bottom of funnel, grew by 8%, and we added 2.2 million customers.

Panel #45, that's "Pro Forma." As I said earlier, this is a pro forma number rather than the reported number. This is also reported, but this is a pro forma reporting. At a design level, as you can see, the largest impact has been in the auto finance part of the business. Rest of the businesses, we expect between Q4 and Q1 to revert to pre-COVID levels from a net NPA standpoint for us as a company.

I'm left with last one panel. This is on Panel #48. This is stage-wise provisioning. Let me just take two minutes to provide you with level of clarity on this panel so that we are all on the same page. Fundamentally, what you see below is Stage-2 and Stage-3 provision, Q3 versus Q3 last year. If you add Rs.5,892 crores and Rs.4,194 crores, that adds up to Rs.10,000 crores of Stage-2 and Stage-3 which used to be Rs.6,000 crores of Stage-2 and Stage-3, gives us a differential of Rs.4,000 crores of Stage-2 and Stage-3 differential. Against that, this Stage-2 and Stage-3 provision itself is Rs.1,800-odd crores. That leaves us with Rs.2,300 crores of plus/minus Rs.50 crores, Rs.2,300 crores of residual provision for us as a company. As we guided, we will take Rs.1,250 crores in the fourth quarter, that's one part. We expect majority of that, as you can see, is essentially coming from auto finance. You will see recoveries of close to Rs.1,000 crores. We have additional Stage-1 provision, as you can see here in this panel, of Rs.1,405 crores versus Rs.770 crores. That's a Rs.700 crore Stage-1 provision that's fundamentally sitting there. So that's the last point. Largely, if not more, should more than cover at a design level for us as a company as we take Q4 provision, that we are fully secured and not accounting for recoveries in next year, if any, certain impact was to appear in any one line of business, the recoveries from next year should be reasonably sufficient to take care from a mitigating impact standpoint. So that's really the full recon at a design level between Stage-2, Stage-3 asset last year versus this

year, what we will do in Q4 and where we'll get to by Q1 for us as a company. That's what I would call 105% recon, not 100% recon on as a company.

Last panel, as you can see, the B2B businesses have started to revert back in Stage-1 to pre-COVID, two-wheeler and three-wheeler is what will take two-odd quarters, B2C and SME have some distance left, as a result of the provisions that we'll take in Q4 is really what this fundamentally reflects.

That's the quarter and some that will give you guidance on Q4 so that we can all hopefully forget about the current fiscal and get back to some degree of normalcy as we get into next year.

That's for me. Happy to take questions.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Mahrukh Adajania from Elara. Please go ahead.

Mahrukh Adajania: What was your stock of flexi loans at the end of the quarter and how much was converted during the quarter?

Sandeep Jain: I think flexi is history now. I think we are not converting too many existing terminals into flexi since Q2. Q2 was the last quarter when we had a decent amount of conversion that had happened. Otherwise, from Q3 onwards, what we are doing is, we are acquiring flexi in the normal course of business across salaried personal loan, business loan, loan against securities, loan against property, so on and so forth. That's purely new origination that we have been doing in past as well. As far as the portfolio quality of flexi is concerned, we are seeing no difference in the portfolio performance versus what we are observing pre-COVID level. So absolutely nothing to worry about on the flexi side.

Mahrukh Adajania: But the stock would be similar to what was in the last quarter?

Sandeep Jain: Would have marginally gone up because of the new acquisition that we have done in the current quarter, which is the new business underwriting that we have done.

Mahrukh Adajania: What was the segment that saw the maximum write-off?

Sandeep Jain: **T**he write-offs were across auto finance and particularly three-wheeler business, where we have chosen to write-off certain set of customers where the receipts were not coming for the last couple of months. We had B2C businesses wherein we had customers who have not paid us for the last five, six months including moratorium period. Similarly, we had customers in B2B, who had not made the repayments in the last six, seven months, including the moratorium period. So the customers who had shown last six months of non-repayment track record, these were the customers we assume were badly impacted by COVID-19 and may not be able to come up in

terms of repayments even in Q4 and subsequent period, and we chose to write them off in the current quarter itself.

Moderator: Thank you. The next question is from the line of Antariksha Banerjee from ICICI Prudential Asset Management. Please go ahead.

Antariksha Banerjee: So on your Panel #39, where you give the distribution reach, I think there's been a drastic reduction in the retail spend stores and some of the other stores as well. Can you tell us what's the rationalization strategy followed here?

Rajeev Jain: So fundamentally, look, we have observed closures as well. So just at a macro level, the digital products have seen closures. So you should read 1,000 as having closed. But the biggest chain here is the retail EMI card stores, which has gone down by 15,000 stores. In Q1 and Q2, we paused that business. We had articulated the REMI and Wallet are the two point of sale businesses that we have not restarted. We have restarted retail EMI cards, but we are focusing on an average ticket size of Rs.15,000. So wherever the ticket size is less than Rs.15,000 on an average, that's where we are not servicing them at this point in time. So that's the 15,000 difference.

Antariksha Banerjee: That's likely to remain from here if I understand?

Rajeev Jain: Once we launch merchant, and that's really what the team is working on, that as we launch Bajaj Pay for merchants, we intend to bring this back but in a completely new design. We did not shut it because we had a credit cost problem. We shut it because the model was becoming completely linear. We cannot then serve 200,000 merchants if we had a design on retail EMI card stores for which we will have to do linear staffing. As Bajaj Pay for merchants emerges, it creates a nonlinear way to grow this pool is really what we'll wait for and we'll build that out from second half of next fiscal onwards.

Antariksha Banerjee: Any rough idea of how much cost would have been saved due to this alone?

Rajeev Jain: This is not a save item that way. This is restructuring the business model to serve for the future. You want a specific number? The number will be Rs.10 crores, Rs.12 crores in a quarter. It's not to reduce cost. It is to structurally ask a question that how it will be run if it was to scale.

Antariksha Banerjee: The second question is on the DBS tie-up. So just to understand the broad contours of the way you do this credit card business remains the same with this partner as well, is that right?

Rajeev Jain: Yes, very much.

Antariksha Banerjee: Just last one data keeping question. What are the incremental deposit costs that you're incurring on whatever you're raising increments?

Rajeev Jain: You mean wholesale, retail? Retail is published, but you could place a fixed deposit with us at 6.6%.

Sandeep Jain: Yes, 6.6% is the pricing that we are offering for 3-year tenor. Blended pricing at a different tenor level would come at 6.45%, 6.5%.

Moderator: Thank you. The next question is from the line of Kunal Shah from ICICI Securities. Please go ahead.

Kunal Shah: So particularly with respect to this RBI's ownership and the corporate structure guidelines or maybe conversion into this banking, what would be our view? And finally, maybe RBI has indicated that there would be some kind of a change in the structural framework for NBFCs. So how prepared would we be with respect to some of the aspects wherein clearly we see the regulatory arbitrage being there between banks and NBFCs, so how would we structure, definitely nothing is out as yet, but how are you particularly looking at it?

Rajeev Jain: Kunal, your question is the answer. Once it is out, at least I'll be able to respond to the question. Otherwise, it would be hypothesis. And based on that conclusion, it will not be fair.

Kunal Shah: But generally, in terms of the operational flexibility, do we see it lot being there under the NBFC structure, which might not be there under the bank?

Rajeev Jain: No, I believe that the arbitrage will continue to just go away because I think they've constantly been harmonizing, I think that's the word constantly being used, they've been harmonizing the arbitrage, and I am fully supportive of that. I believe that for the sustainable growth of the sector, it cannot run our arbitrage, it should run on its own feet and should not purely be built on arbitrages. So, I am fully supportive of whatever decisions they make. We will optimize our business model and it should be with minimum friction is what I would believe to all stakeholders.

Sandeep Jain: Kunal, RBI has always come out with guidelines, which made the sector more resilient. I think that's what RBI is currently looking at as well. And we welcome the move that RBI will make on this count.

Kunal Shah: Secondly, in terms of this distribution which we highlighted particularly is on the digital side or lifestyle stores. But does it any which may impact the servicing, you said it's not based on the customer behavior and it's purely in terms of the closures, but does it impact in terms of the asset quality to us or no, not really, maybe even if it's shut down, it doesn't matter in terms of the behavior of the customer?

Rajeev Jain: So, in a way, I have a view that when we see 1,000 digital product store shutdown, two things. Consumer durable, you don't see much movement because they are harder to build and shut. Okay? There is a digital product. In general, we do observe that in good times, more much room

and in bad times, they shut down. The entry barriers and exit barriers are very low. So ,this clearly reflects that right now, it's a bad time. But 12 months down the line, as times turn, you may see it may increase again. Whether you walk into Vijay Sales or you walk in, in general to a smaller store, our underwriting models in general don't change to the extent of 95%. So really doesn't change. But there is evident consolidation at least in consumer durable in my mind.

Kunal Shah: Sure. I understand that. But in terms of our customer behavior, which we would have originated from those stores, is the behavior different from the shutdown stores and existing stores or is it…?

Rajeev Jain: No, no, among the top three retailers, I can tell you, one of them is below our national average and they're one of the largest. So, it really doesn't matter.

Kunal Shah: And one last question in terms of restructuring, is there a further pipeline wherein maybe we would have evaluated it, but yet to finally get restructured or this the final number?

Rajeev Jain: Yes, this is the final number. Actually, since 15th December, we are done.

Moderator: Thank you. The next question is from the line of Kuntal Shah from Oaklane Capital. Please go ahead.

Kuntal Shah: You have said something that it's a moment of truth for the company which is equivalent to a crisis on who's outcome everything depends. You also said the digital initiatives are not contingent to the growth. So basically, you are relying on the process improvement to ride out through the crisis, is that the correct understanding, can you explain this in detail?

Rajeev Jain: Yes. In fact, they will have a bigger near-term impact.

Kuntal Shah: For a couple of quarters?

Rajeev Jain: I believe, in the next fiscal, the bigger impact of that will come from. I made that point, through the productivity apps that we are creating rather than the consumer app. And that's where the omni-channel frame is, in a time like this, just got back to business, if we can start to generate 2.2 million customers in a quarter, you should safely assume that we are doing 6 million loans, we'll be back very soon to doing what we were doing pre-COVID. That's omni-channel frame, but to serve them is really what we see a 3-in-1 frame will be. To mind their wallet is really what we see 3-in-1 or the business transformation frame will be. So, I think that's really where, Kuntal, we are headed.

Kuntal Shah: When we compare your numbers and your front-loading of credit cost 4.1% on non-consolidated basis versus others adjusted for the size comparable, most of the financial choose to write-off losses over time and provide as their earn. I understand you want to get rid of it and start with

these, but the difference is just too stark to ignore, like can you just highlight that is it overcautious stance or you are seeing that kind of thing and others aren't?

Rajeev Jain: I can't speak for others, Kuntal. I can speak for myself. These decisions are based on millions of customers. We bank 14 million customers at this point in time. It's based on that we're making decisions. So, this is a very, very large sample strategy across 2,000 cities in India. And we are making database and fact-based decisions. We do believe, philosophically, that P&L must fully reflect the state of the business. That's a philosophical point. The earlier point is a fact-based point. We want our P&L to fully reflect at any point of time the state of the business.

Kuntal Shah: But Rajeev, since you don't have a banking license and you bank with all the other major banks, your customers, their customers overlap, so where's the disconnect?

Rajeev Jain: Kuntal, you're asking me or telling me? Because if you're asking me, I look at private sector banks, nationalized banks, we do lend to some customers who have cooperative bank accounts given our deep distribution. I've not seen a structural difference. We last did bureaus we work with to see whether our customers, are they defaulting with us or are they defaulting structurally or structurally they went into morat with us or they went into morat with broader banking system. Conclusion was 97%- 98% if they were in morat with us, we broke that up by public sector banks, private sector banks. Conclusion was, not reasonably, completely identical on our base. So that's all I would say.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe: So, when you say December '20 collections are net of provisions in those monthly collection efficiency panels, that's the footnote…

Rajeev Jain: Nischint, identically reads to Panel #45 to these numbers. So, wherever it's written off, it's written off against that. Identically reads to that. That reads identically to Rs.1,970 crores written off. That shows in Stage 2, Stage 3. Identically, reads to the last three panels.

Nischint Chawathe: Okay, let's go to the page number 49, and what you're saying is December '20 numbers are net of provisions excluding Stage-1? I'm just trying to understand what this means.

Rajeev Jain: Yes, yes, yes, of course, because I've provided, I've written off, then there's nothing left. That's all I have to do. Stage 1, not accounting for, rightfully, as you said, so Stage 1, Rs.1,400 crores, which you see in previous panel which is Rs.1,405 crores is what I would call in fact, as that improves, Nischint, and I said earlier, this number has to circle back to on an average asset basis to 60 basis points rather than 110 basis points. So eventually, there is that Rs.700 crores fundamentally that's sitting there. In addition, Nischint, as I said earlier, we will take in Q4 anywhere between around Rs.1150 crores to Rs.1250 crores. That's largely as I said it's 105% reconciliation.

Nischint Chawathe: And if I look at Stage 2, Stage 3 loans, if I look at it on a QoQ basis, last quarter was, I think, Stage 2 plus Stage 3 was around Rs.13,000 crores, this quarter is around Rs.10,000-odd crores, and you have written of approximately Rs.3,000-odd crores. So broadly, I think if I have to think about it on a QoQ, there is no improvement between Stage II plus Stage 3 both?

Sandeep Jain: No, Nischint, we have written off Rs.1,970 crores in current quarter, not Rs.3,000 crores. So there is Rs.1,000 crore to Rs.1,200 crores of recovery, which means customers who are in Stage 2 have come back to Stage 1 by making the payment of their installment, not only for the current month, but probably also for the previous months.

Nischint Chawathe: And you would expect maybe a higher recovery in the next quarter, and that's where your kind of confident about the provision guidance?

Sandeep Jain: I won't comment on roll back number as to how many customers or what amount will roll back from Stage 2 and 3 to Stage 1. But from the portfolio that we have written off or we may write-off in Q4, do we see certain amount of recoveries to take place in next year? Probably answer is yes. Can I put a number to it? I can, but probably we'll wait and watch as to how these recoveries work out as we get into Q1 of the next year, and then we'll be more confident in terms of giving you a number.

Rajeev Jain: Nischint, since you have a question, let me reconcile once again for you. Okay? Last year, same time, we were at Rs.6,000 crores. So, we are supposed to be at six, we're not supposed to be at zero. That's level 1 let me articulate, right? We're not supposed to go back to zero. We were last year at six, we are at 10, differential is Rs.4,000 crores. Last year, we had Stage 2, Stage 3 provision of Rs.2,000 crores. We have Stage 2, Stage 3 provision of Rs.3,800 crores. Okay? That leaves us with Rs.1,700 crores. It's all here on this Panel 48. We will take in the current quarter Rs.1,200 crores and so on and so forth. So that's fundamentally on this panel full recon, we are not talking about recoveries, we're talking what we will do in Q4, where this number is and where it will go to, we want to get back to 6,000 by Q1 fundamentally. Adjusted for, the only number that we go to Q2 at a design level, maybe auto finance business because there is underlying collateral value that's sitting there. See, so the Rs.4,000 crores differential, even if you take for other businesses, very little. But take for AF, which structurally over the last 20 years has delivered between 45% and 50% recoveries on repossession, if you take that, as I said, is 105% recon rather than 100% recon.

Sandeep Jain: Nischint, in normal times, one takes a cut-off at 95% level that if I'm 95% sure that money will not come, or other way around, if I have 5% only probability of recovery, then I choose to write-off. In the current time, given the extreme stress scenario that we have gone through, probably that threshold has increased from 5% recovery to 10% recovery. So, wherever we are seeing that there is less than 10% probability of recovery, rather than keeping it in the GNPA and carry it as provision, we'll just write it off.

Nischint Chawathe: The second question is just trying to understand a little bit about Bajaj Pay in terms of what is the thought process around it and how does it integrate with the overall?

Rajeev Jain: PPI business focused on our merchants and our customers. Open loop, universal QR infrastructure allows our customers to use the universal QR and the UPI infrastructure to do their day-to-day activities, allows the customer in a single interface to use credit card, UPI, EMI card, depending on the network and QR. That's really what it would do in a single interface infrastructure.

Nischint Chawathe: How does it integrate with the rest of the business in terms of lending?

Rajeev Jain: At a checkout page, you will see these four options. Based on the merchant, an EMI may appear, based on merchant, it may not appear. Based on a reward that we may offer to a merchant, it may appear, based on a merchant, it may not appear. That's how it will integrate with a broader B2B business. Today, you can walk into a store and use your reward points on a co-branded card and convert into margin. That's how it will integrate into the business. Today, monthly, Rs.5 crores to Rs.8 crores gets converted from reward points into margin money by customers to buy a product. This is how it will integrate at a fundamental level and many more ways as we deliver this between July and September.

Moderator: Thank you. The next question is from the line of Prashanth Sridhar from SBI Mutual Funds. Please go ahead.

Prashanth Sridhar: Just a clarification on a data point. What is the amount of flexi loans that will be part of the Stage 3 Rs.4,000 crores in the restructuring Rs.2000 crores?

Sandeep Jain: I don't have that number handy. I can come back to you separately. But I think once the customers move into Stage 3, it really doesn't matter whether it is flexi or non-flexi. That's the only point that I will put on table. We may have certain set of customers who may be in Stage 2 and Stage 3 with flexi facility from us. But from provisioning point of view, from exposure point of view, they are no different from a normal term loan customer.

Rajeev Jain: If it was standing out, we would at least have the number, let me make that point. And we tried most numbers. If you're not tracking it, you should reasonably believe that we don't think it's an elephant in the room.

Prashanth Sridhar: But I think you had spoken about it earlier. Just any feedback on the traction in terms of how much gets converted into flexi this quarter. I think we have the number for the previous two quarters.

Rajeev Jain: No way. We are not tracking even that. So that's what Sandeep responded even earlier.

Sandeep Jain: See, see, if you look at the commentary that we have given in Q1 and Q2, there were significant number of customers whom we wanted to offer flexi loans who had not availed it earlier. So, we had a stock sitting out there, we had field forces who did not have enough business in the market to do because of lockdown situation, and that's where flexi conversion took place. I think as we go back into normal business, the flexi conversion is not going to be area of focus. And any which ways, the set of customers that we wanted to convert into flexi product have already got converted.

Moderator: Thank you. The next question is from the line of Abhishek Murarka from IIFL. Please go ahead.

Abhishek Murarka: So, a few questions. One, in terms of the DBS tie-up, the pool of customers that is available to RBL and DBS, is that going to be kept exclusive or is it a larger pool and hence the flows that were going to RBL earlier are not going to shrink, if you could give some understanding of the kind of business flows or customer base monetization that you're looking at, it would be great?

Rajeev Jain: So, it would be a little premature, Abhishek at this point in time. We just received an approval. First, we have to work with them as a bank. They don't have active credit card business in India so they have to put together the infrastructure and the technology platform to launch in India. So I think that's first thing that has to happen and largely to be done by them. We'll assist them in whichever way we can. I think maybe by 1st of July it gets launched. So maybe we will provide an update, Abhishek sometime in Q1.

Abhishek Murarka: Rajeev, sorry, just to ask, just conceptually, does this sort of cannibalize the customer flow to RBL or does it not cannibalize that flow, the pool that is available to RBL?

Rajeev Jain: No, as I said earlier, Abhishek, RBL is our strategic partner, we built out with them over the last four years a very good business, and it's a special relationship and it will continue to be strategic, and it will continue to grow the way it's grown over the last few years, and we see a very large opportunity to be able to serve both the manufacturers as a company for the medium term definitely.

Abhishek Murarka: The other question is, Rajeev, when I look at this panel on home loans and LAP and I see the sequential reduction in those buckets that you reported, it's still much, much higher than pre-COVID level. And I just wanted to know what are the structural reasons for stress in home loans because LAP, I understand, could we do some businesses which are seeing stress, but home loans, considering it is very high-quality underwriting cross-sell to existing customers, why should that portfolio see much higher delinquency?

Rajeev Jain: Because it is the largest outflow for a customer. That's exactly the point. We all cannot forget that there was a COVID crisis. So clearly, you will see. But at a fundamental level, Abhishek, also remember this is super secured. So eventual loss given default as customers go back to normalcy will be much, much lower. This and AF are the two businesses, because they are long

tail, in fact, mortgage will take the longest to go back to normalcy to that extent because you have to work through the customer. Even on bounce rate, so far, they're still higher than they were at pre-COVID levels. So we'll have to just work through.

Abhishek Murarka: A couple of disclosure related questions. Can you give the movement of NPA? And what is the ECLGS outstanding that you have, how much in ECLGS 1.0 and 2.0?

Sandeep Jain: Abhishek, I can't give you NPA movement because of the standstill that has been ordered by Hon'ble Supreme Court. And that's the reason why we chose not to publish that NPA movement walk for the current quarter because fundamentally, I'll not allow any customer to be classified as NPA in the current times. So that's a point number one. On ECLGS, I think that will be about Rs.600 crores to Rs.700 crores of outstanding that we have done.

Abhishek Murarka: And just in the movement of NPA, even though you cannot disclose that, but just on a pro forma basis, the slippages, would that be close to Rs.4,200 - 4,300 crores, if we were just to assume that nearly Rs.1,970 crores was written off?

Sandeep Jain: If you track the movement in the Stage 3 outstanding and add back to the write-off number, that will be the number that will get worked out.

Moderator: Thank you. The next question is from the line of Krishnan ASV from HDFC Securities. Please go ahead.

Krishnan ASV: My question is a little more structural. You have generally had a lot of wins to your credit from the time that you have been in engineering the turnaround at path. Unfortunately, one constituency that you haven't had great success with is customer friendliness, right? So just wanted to understand, you have mentioned a few things around business transformation and what you want to do in order to become more customer friendly. But are we reaching a point where you might want to admit that it's not possible to be both customer-friendly and investor-friendly?

Rajeev Jain: No, I don't agree at all. So I mean, just to set the record straight, we run one of the highest NPS in the lending business in India. Structurally, we never published it. Now we start to publish. If you go back to Panel 10, I don't believe that you will make a choice. So that's level-one. We run an NPS of pre-COVID, 47% -48%. 64% of the customers are existing customers, we think it will go back to 68%. So structurally, it's not a choice between either/or, I must say that. You have to be straightforward; you have to be clear. So, I don't think it's a choice. But it's a choice to make. I have said this on Panel 10 if you go to it. See, we actually get as a starting relationship a very small share of his wallet. Let's face it. He's taking 8-month loan at no interest. I'm getting a very small share of his wallet. He's got a personal loan wallet, he's got a home loan wallet, he's got an insurance wallet, he's got a credit card wallet, he's got a used car wallet, he's got an FD wallet. I want that part of the wallet. If I did not serve him that, any which ways, he will not do

business with me. So, I have actually performed is not an option, but to serve him right to get that part of the wallet. And that you can be reasonably successful across businesses for many years. Now should we do much more and that's why the Panel 10 has appeared. Let me make that point that at the size of our franchise that we will get to, we have to be far more serious about it as we get it.

Krishnan ASV: I mean, so the reason I'm asking that, Rajeev, is, at some point of time, you did have aspirations to be a bank. We have recently had one adverse regulatory development where a large bank was told not to add new customers if you can't be fair to your existing customers. So, I'm just wondering, I mean, is there something that you could do to fix the perception of not being customer-friendly? Maybe you are. But maybe there is a perception that lies out there that you're not very customer friendly. I mean, is something being done to address that perception?

Rajeev Jain: I mean, as I said, that's why we do NPS, and NPS tells us that on a year-on-year basis, over the last three years, we are making significant progress. My experience tells us that our share of our customers wallet has gone up. So, three years ago, we didn't have dedicated customer service branches. Today, in top 28 cities in India, I have only dedicated customer service branches. On an average, each branch has eight to ten cashiers. There are 10,000 square feet on an average infrastructure. So we can go into detail, but I don't know how to fight perception, but when I ask our customers at an NPS level, done independently, that is not what we are seeing or that is not what we observed, because at the fundamental level, let me make a point. What is the core product? The core product is how quickly am I able to give him the core product, which is a loan. If that takes long, I can be whatever, he's not going to like it. If that is quick and reasonable, he's going to like it, and that's why NPS goes up. As friction goes down, we will see performs like it or not NPAs go up. More and more friction goes down, more and more NPS will go up. Less and less questions I ask and more and more I work for him, more and more, he's going to be happy. That's really how we all behave, and that's really how customers behave. So now then comes to the next question, which is an investor-related question, “What is the price?” Now price between fair, reasonable, low, that's a matter of judgment because therein comes at a fundamental level, what is the risk-adjusted pricing for that customer. So, here the conversation starts to get a little more complex, we have to be at it and continue to solve for it.

Krishnan ASV: You have creamed out almost anything that happens offline in terms of durable financing, mobile financing, electronic appliance financing. I just wanted to understand how does that share of the wallet or share of the transactions that happen over the online journey, how is that tracking further down?

Rajeev Jain: Seven, eight per cent. That's far largely determined by the new through-the-door customers that come in offline, level 1. And that's why I said 2.2 million new customer acquisition was an important metric in Q3, gets converted, in general, 90% of the clients land up taking an EMI card, and of them, those who choose to use, on e-com get access to it. That's really how the virtuous cycle fundamentally works. So more and more customers keep coming through the

offline ecosystem, more and more customers keep buying EMI card, more and more customers keep using the EMI card based on their choice, whether in offline or in online. So, as you can see, in the previous quarter, offline business grew by 86%, eCom grew by 107%. So, we'll stay focused on the customer rather than on the channel.

Moderator: Thank you very much. Ladies and gentlemen, due to time constraint, that will be the last question for today. I will now hand the conference over to Mr. Karan Singh for closing comments.

Karan Singh: On behalf of JM Financial, I would like to thank Rajeev Jain and the senior management team of Bajaj Finance for joining us on the call today. Thank you.

Rajeev Jain: Thank you, all. Sorry to be late.

Moderator: Thank you very much. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.